

Table A10: Validity of the empirical strategy: dependent variable is earnings in richest decile

	(1) Benchmark	(2) Including family fixed effect	(3) School- specific linear trends	(4) 'Drop if more than random'	(5) Quadratic specifi- caiton
A - Low SES students sample					
Proportion of parents with elite degree (std)	0.004 (0.004)	-0.003 (0.036)	0.004 (0.005)	0.005 (0.007)	0.001 (0.005)
Proportion of parents with elite degree squared					0.004 (0.003)
<i>Number of pupils</i>	<i>20454</i>	<i>20454</i>	<i>20454</i>	9,710	<i>20454</i>
<i>Number of schools</i>	<i>457</i>	<i>457</i>	<i>457</i>	236	<i>457</i>
B - High SES students sample					
Proportion of parents with elite degree (std)	0.022*** (0.009)	-0.045 (0.043)	0.036** (0.016)	0.040** (0.016)	0.039** (0.018)
Proportion of parents with elite degree squared					-0.005 (0.006)
<i>Number of pupils</i>	<i>6765</i> <i>372</i>	<i>6765</i> <i>372</i>	<i>6765</i> <i>372</i>	2,827 178	<i>6765</i> <i>372</i>

Notes: OLS estimates of the coefficient on the variable measuring the fraction of elite educated parents in the student's youth cohort in different specifications in the low SES sample (Panel A) and in the high SES sample (Panel B), on earning in the richest decile age 30-32. Column (1) refers to the benchmark specification (equation 1) and reported in Table 6. Column (2) refers to the benchmark specification where we also control for school-specific linear trends. Column (3) refers to the benchmark specification this time estimated on the subsample of schools where variation in the elite peer variable evolves over time in a random way. Specifically, we drop the schools where the R^2 from a school-level regression of the proportion of elite educated peers on a quadratic in year is 1.05 times the R^2 from five regressions where cohorts are randomly re-ordered for each. See section 4 for full details. Column (4) refers to the benchmark specification where we also control for a family fixed effect. Column (5) refers to the benchmark specification augmented with a quadratic term in the elite peer variable. Regressions are weighted by school size to take account of the parent peer variables group averages, taken from groups of different sizes. Standard errors clustered at the school level. Standard errors clustered at the school level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$